Memo: Pilot NorthRoute for lower-48 parcels

To: Dana Whitfield, VP Operations
From: Sam Okafor, Fulfillment Manager, Lakeside Outfitters
Date: October 28, 2026
Decision needed by: November 15, 2026

Recommendation

Approve a 60-day pilot with NorthRoute starting January 6, 2027, covering domestic lower-48 parcels only. NorthRoute quoted $6.95 per parcel against SwiftShip's $8.40, about $1,667 a month at our current volume. The pilot lets us test the two things we can't confirm from paper: their damage rate and whether an earlier cutoff hurts customers.

Why now

We ship about 1,150 parcels a month, all domestic. SwiftShip averages $8.40 per parcel. NorthRoute's quote averages $6.95.

Savings at current volume: ($8.40 - $6.95) x 1,150 = about $1,667 a month. That is a ceiling, since Alaska and Hawaii stay on SwiftShip (below) and a higher damage rate would eat into it.

Risks

Earlier pickup cutoff. NorthRoute picks up at 3pm; SwiftShip at 5pm. Orders packed between 3 and 5pm would ship a day later. To avoid that, we would move our packing cutoff to 2:30pm so we still hand off by 3. The cost is that orders placed in the afternoon window get a shorter same-day window. Customers value next-day delivery, and we logged 14 late-shipping complaints last year, all on SwiftShip, so a slower handoff is a real concern.

Damage rate is unverified. NorthRoute's sales sheet states a 1.1% damage claims rate. Ours with SwiftShip, measured last year, is 0.8%. The NorthRoute figure is their own and we haven't checked it. If it holds, that is 0.3 points higher, roughly 3 to 4 additional damaged parcels a month at our volume. I haven't put a dollar cost on a claim, so I can't say how much of the savings that would absorb. Measuring it is a main purpose of the pilot.

No Alaska or Hawaii coverage. NorthRoute doesn't serve either. They are 2.1% of our orders and would stay on SwiftShip, so we would run both carriers.

Proposed pilot

- **Scope:** domestic lower-48 parcels only; Alaska and Hawaii stay on SwiftShip.
- **Duration:** 60 days, starting January 6, 2027.
- **Operational change:** packing cutoff moves to 2:30pm for NorthRoute-bound orders.
- **What we track:** damage claims rate against SwiftShip's 0.8%, late-shipping complaints, and actual cost per parcel.

Exit risk

Low. The SwiftShip contract needs 30 days' notice to cancel, with no fee. We would not cancel anything for the pilot itself, so we can return to SwiftShip fully if NorthRoute underperforms.

Decision needed

Please approve or decline the pilot by **November 15**. Approval lets us set up the NorthRoute account and handle SwiftShip notice in time for a January 6 start. Note that 30 days' notice ahead of January 6 falls on December 7, so if any notice is needed, that is the latest date.

If you would rather not move the packing cutoff, the alternative is to stay with SwiftShip. I don't recommend a switch without the pilot data.